UNIVERSITI TUNKU ABDUL RAHMAN

ACADEMIC YEAR 2022/2023

MAY EXAMINATION

UKFF4024 MULTINATIONAL FINANCE

WEDNESDAY, 10 MAY 2023 TIME: 6.00 PM – 9.00 PM (3 HOURS)

BACHELOR OF INTERNATIONAL BUSINESS (HONOURS)

Instructions to Candidates:

Section A: [Total: 40 marks]

This section consists of **ONE (1) compulsory** question that **MUST** be answered.

Section B: [Total: 60 marks]

This section consists of three (3) **optional** questions and **ONLY TWO (2)** questions to be answered.

Note: For calculation question(s), marks will be awarded for detailed workings.

UKFF4024 MULTINATIONAL FINANCE

Section A: **[Total: 40 marks]**

(Answer this ONE compulsory question)

Q1. (a) Evaluate **THREE (3)** disadvantages of cross-border listing. (9 marks)

(b) Musliara Berhad is a Malaysian kitchen appliances manufacturer. It has only one production plant located in Bukit Mertajam, Penang. Output produced from this production plant will be sold domestically as well as to all its major export markets such as U.S., China, Australia, New Zealand and South Africa.

Recently, Musliara Berhad exports its products worth U.S. dollar (USD) 400,000 to its customer in Los Angeles, U.S., and has allowed the customer a three-month credit term. Musliara Berhad currently has no cash surplus and its capital structure is still below the industry average debt-to-equity ratio. Assistant to the Chief Finance Officer has obtained the following information:

Spot rate (MYR/USD)	4.4080 – 4.4270
Three-month forward	200 – 298 basis points
Three-month MYR interest rates	4.80% – 6.00%
Three-month USD interest rates	1.80% – 2.50%
Three-month call options on USD: Strike = MYR4.3300/USD	Premium = 2.75%
Three-month put options on USD: Strike = MYR4.3800/USD	Premium = 3.00%

Required:

(i) Calculate the receipt in Malaysian ringgit (MYR) if Musliara Berhad implements a forward market hedge strategy. (4 marks)

(ii) Develop an options market hedge strategy for Musliara Berhad. Calculate the receipt in MYR if the future spot rate at the end of three months turns out to be:

- MYR4.2800/USD; and
- MYR4.5000/USD respectively. (14 marks)

(iii) Develop a money market hedge strategy for Musliara Berhad and calculate the receipt in MYR. (11 marks)

(iv) Based on the answers in part (i) to part (iii) above, recommend the most optimal contractual hedging strategy for Musliara Berhad. (2 marks)

[Total: 40 marks]

Section B: **[Total: 60 marks]**

(Answer any TWO out of three questions)

Q1. (a) Bellingham Berhad is considering the following mutually exclusive projects:

Project V: Establish a new production factory in Hanoi, Vietnam. The initial outlay needed is Vietnamese Dong (VND) 56.8 million. Current spot exchange rate is VND5.7000/MYR. This project will generate net cash inflow of VND 21 million per year over the next five years.

Project S: Establish a joint venture in Cape Town with a local South African firm. The initial investment that it needs to contribute is South African Rand (ZAR) 93.3 million. This project will generate net cash inflow of ZAR 28 million per year over the next five years, after deducting the portion that belongs to the local joint venture partner. Current spot exchange rate is ZAR3.8600/MYR.

Bellingham Berhad has a weighted average cost of capital (WACC) of 16% in Malaysia. Inflation rates in Malaysia, Vietnam and South Africa are expected to be 5%, 8% and 2% per annum respectively over the next five years.

Required:

Apply the foreign cost of capital method to calculate the net present value for each of the projects above in Malaysian Ringgit (MYR). Decide which project should be undertaken. (16 marks)

(b) Differentiate between global and local capital structures for a multinational enterprise. (6 marks)

(c) Evaluate **FOUR (4)** disadvantages of cross-border acquisition in comparison to Greenfield investment. (8 marks)

[Total: 30 marks]

Section B (Continued)

Q2. (a) Differentiate between currency diversification and cross hedging. (10 marks)

(b) Wilmots Berhad is a Malaysian multinational corporation that has a subsidiary located in Belgium. Every month, the subsidiary in Belgium will sell the products it produced to the parent company in Malaysia. Corporation tax rates are 24 percent in Malaysia and 27 percent in Belgium. Analyse how Wilmots Berhad should adjust the transfer price for the intra-company sales in order to minimise its group effective tax rate. (5 marks)

(c) Gavi Pedri is a currency trader working at Banco Bilbao Vizcaya Argentaria in Spain. He expects that the euro (EUR) will strengthen against the Qatari rial (QAR) in the coming 90 days. Based on this expectation, he decides to take a long put and a short call positions on Qatari rial. The details on the currency options are available as follow:

Option	Strike (EUR/QAR)	Premium (EUR/QAR)	Contract Size (QAR)
Call on QAR	0.2750	0.0090	500,000
Put on QAR	0.2750	0.0150	500,000

Required:

Calculate the long put, the short call and the combined payoffs in EUR terms if the 90-day future spot rates turn out to be: (i) EUR0.2630/QAR, (ii) EUR0.2480/QAR and (iii) EUR0.2900/QAR respectively.
[Note: Present your answer in organised tabular format].

(15 marks)
[Total: 30 marks]

Q3. (a) Joint venture is one of the strategies to enter into a particular foreign market. Evaluate **SIX (6)** benefits of adopting a joint venture strategy. (12 marks)

(b) Explain **FIVE (5)** cost-related motives that induced multinational enterprises to undertake foreign direct investment (FDI). (10 marks)

Section B Q3. (Continued)

(c) Folden Berhad imported luxury leather handbags and wallets worth euro (EUR) 300,000 from a French manufacturer. Both the exporter and importer agreed to share the exchange rate risk equally if the spot exchange rate at the end of the two-month invoice due date is outside the range of MYR4.8600/EUR to MYR4.9600/EUR. If the spot exchange rate is within the range, then only Folden Berhad will bear all the risk.

Required:

Assume that the spot exchange rate at the end of two months turns out to be MYR5.0700/EUR, compute Folden Berhad's payment for the imports in MYR and the French manufacturer's receipt in EUR. (8 marks)

[Total: 30 marks]